MILITARY SPECIFICATION

VALUE ENGINEERING PROGRAM REQUIREMENTS

This specification has been approved by the Department of Defense and is mandatory for use by the Departments of the Army, the Navy, the Air Force, and the Defense Supply Agency.

1. SCOPE

1.1 This specification establishes the minimum requirements for a contractor's value engineering program when a value engineering program requirement clause is included in the contract. (See 6.2.1 and 6.2.2.)

2. APPLICABLE DOCUMENTS

2.1 There are no documents applicable to this specification.

3. REQUIREMENTS

3.1 Amendments and revisions.- Whenever this specification is amended or revised subsequent to its contractually effective date, the contractor may follow or authorize his subcontractors to follow the amended document provided no increase in price or fee is required. The contractor shall not be required to follow the amended or revised document, except as a change in contract. If the contractor elects to follow the amended or revised document, he shall notify the contracting officer in writing of this election. When the contractor elects to follow the provisions of an amendment or revision, he must follow them in full.

3.2 Organization.- The contractor shall identify an organization responsible for the overall direction of the value engineering program and shall clearly define its relationship to top management and such other activities as engineering, manufacturing, finance, and purchasing.

3.2.1 Programming.- Value engineering program elements shall be scheduled and accomplished to achieve the greatest benefits and cost reduction consistent with other contractual obligations.

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3.2.2 Program control.- The contractor shall control and monitor the value engineering program. This shall include the following:

a. Establishment of cost targets for the various functional elements of the product when in production

b. A reporting system to measure progress in relation to these targets

c. Documentation of the above shall be available, upon request, to the Government.

3.3 Value engineering program elements.- The following program elements shall be employed to the extent necessary to achieve the objectives specified in 3.2.1:

3.3.1 Coverage.- Value engineering activity shall include, but need not be limited to, the following areas:

a. Technical requirements

b. Specifications and drawings

c. Hardware (procured and fabricated)

d. Tooling

e. Facilities

f. Testing, test equipment, and procedures

g. Packing and packaging

h. Technical and logistic data.

3.3.2 Cost information.- Cost information sufficiently accurate for reliable decision-making shall be compiled for each study. Where useful, cost models setting forth major cost elements and their contribution to total cost will be generated early in the program.

3.3.3 Review actions

3.3.3.1 Technical requirements review.- The contractor shall challenge, from a cost-effectiveness viewpoint, specifications and other requirements which in his judgment appear unrealistic, represent over-specification, or add little to military value for the added cost.

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3.3.3.2 Design review.- The value engineering organization shall participate in design reviews to assist attainment of essential function at minimum cost. Value engineering recommendations and the results of such recommendations shall be documented. When formal design reviews are not conducted, a value review of hardware designs shall be held prior to release for production.

3.3.3.3 Production.- Value engineering studies shall be conducted on appropriate items after production release.

3.3.4 Purchasing.- The contractor shall encourage subcontractors to challenge those elements of design and specification which can be modified or eliminated without degrading essential characteristics (see 6.2.3). The contractor shall encourage, assist, and monitor subcontractors in the area of value engineering. Deliberations of make-or-buy shall reflect the application of value engineering techniques as a basis for decisions. Purchasing representatives shall be included in design and hardware reviews.

3.4 Value engineering change proposal procedures (see 6.2.4).- In preparing value engineering change proposals, the contractor shall give consideration to the overall costs to the Government, that is, user supporting costs as well as initial purchase costs. A value engineering change proposal should promise a reduction in overall costs (see 6.2.5) to the Government.

3.4.1 Processing value engineering changes requiring Government authorization.- Where the results of a value engineering study (see 6.2.6) or determination warrant, the contractor shall submit a value engineering change proposal (VECP) to the contracting officer for approval and contractual authorization.

3.4.2 Processing value engineering changes not requiring Government approval.- Value engineering changes resulting from the value engineering program which do not require Government approval shall be evaluated and either approved or disapproved by the contractor. These changes are within the confines of the contract and, therefore, do not require Government approval. The contractor's normal paperwork pertaining to such approved changes is subject to review by the Government.

3.5 Reports - documentation - access to records

3.5.1 Access to records and documentation.- The contractor shall maintain project files in sufficient detail to enable the contracting officer or his representative to evaluate the quantity and quality of work performed pursuant to this program requirement. Such documentation shall be kept current and available for review, upon request, by the contracting officer or his representative.

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3.5.2 Reports.- The contractor shall submit progress reports on value engineering as specified in the contract schedule.

4. QUALITY ASSURANCE PROVISIONS

4.1 Not applicable to this specification.

5. PREPARATION FOR DELIVERY

5.1 Not applicable to this specification.

6. NOTES

6.1 Intended use.- This specification is intended to establish minimum contractor requirements and to set a minimum standard of contractor performance concerning value engineering. It is not intended to prescribe exactly the organization and operation of a contractor's value engineering efforts. It is intended that the application of this specification will result in reduced overall costs without degradation of the essential characteristics of any item, through use of value engineering principles and techniques.

6.2 Definitions.- For the purpose of this specification, the following definitions will apply:

6.2.1 Value engineering.- Value engineering is defined as an organized effort directed at analyzing the function of systems, equipment, facilities, and supplies for the purpose of achieving the required function at the lowest overall cost, consistent with requirements for performance, including reliability and maintainability, and delivery.

6.2.2 Value engineering program.- Value engineering program is defined as the contractually required value engineering directed toward design and delivery of supplies and material with essential characteristics at lowest overall cost.

6.2.3 Essential characteristics.- Essential characteristics are defined as the minimum operational, functional, maintenance, safety and reliability needs of the user which must be fulfilled.

6.2.4 Value engineering change proposal.- Value engineering change proposal is defined as a formal recommendation resulting from value engineering activity, which clearly sets forth a change by contractual documents.

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6.2.5 Overall costs.- Overall costs are defined as a combination of initial purchase and user supporting costs. The initial purchase cost is the total price of a complete production item, including royalties, packaging, maintenance parts, accessories, drawings, and technical manuals. User supporting costs are those which represent the installation, operating, maintenance, and logistics expense to the user throughout the useful life of the equipment.

6.2.6 Value engineering study.- A value engineering study is defined as a function-oriented appraisal of all the elements of an item or process to achieve essential characteristics at minimum cost.

Custodians:

Army.- MC
Navy.- OIM
Air Force.- 11
DSA.-DH

Preparing activity:

Air Force.- 11

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